dayforce

Payroll and Income Tax Guide

Financial Year 2025-2026

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Further, this information must also be read along with your company specific HR/Compensation policy for clear understanding

What does Salary Income mean?

Salary normally includes wages, annuity, pension, gratuity, commission, perquisites, etc. and any other payment received by an employee from the employer during the year. These are paid and tax is deducted at source by your employer. An annual statement of earnings and deductions (Form 16) is given to each employee at the end of each financial year (April -March).

What does Allowances mean?

Allowances are fixed sums of money paid regularly in addition to salary for the purpose of meeting some requirement. There are 3 types of allowances:

- Taxable allowances
- Partially exempted allowances
- Fully exempted allowances

Most allowances are fully taxable while some are partially taxable like House Rent Allowance, Children Education Allowance. A table with details of taxability is enclosed as under:

Fully Taxable Allowances	Partially Exempted Allowances
• Dearness Allowance	• House Rent Allowance
• Medical Allowance	• Children Hostel Allowance
• Servant Allowance	• Children Education Allowance
• Deputation Allowance	• Leave Travel Allowance
• Over Time Allowance	
• Other Allowances	

What is a Permanent Account Number (PAN)?

Permanent Account Number is a unique identification number by which the Assessing Officer of the Income Tax Department can identify any assessee. PAN consists of ten alphanumeric characters, and every employee of the company must possess PAN.

It is mandatory to submit the PAN to the employer, failure to which the income tax will be deducted at the rate of 20% of the taxable income or the average tax whichever is higher, as per Sec 206AA of the Income Tax.

What are the current Income Tax slabs for Old Regime opted individuals?

Income Tax slab for resident Individual who is less than 60 years of age

Taxable Income Slab	Income Tax Rate & Cess
Up to Rs. 2.5 Lakh	Nil
Rs. 2,50,001 to Rs. 5,00,000	5% of (Total Income minus Rs. 2,50,000)
Rs. 5,00,001 to Rs. 10,00,000	Rs. 12,500 + 20% of (Total Income minus Rs. 5,00,000)
Rs. 10,00,001 and above	Rs. 1,12,500 + 30% of (Total Income minus Rs. 10,00,000)

Income Tax slab for resident Individual who is equal to or greater than 60 and less than 80 years of age (Senior Citizen)

Taxable Income Slab	Income Tax Rate & Cess
Up to Rs. 3 Lakh	Nil
Rs. 3,00,001 to Rs. 5,00,000	5% of (Total Income minus Rs. 3,00,000)
Rs. 5,00,001 to Rs. 10,00,000	Rs. 10,000 + 20% of (Total Income minus Rs. 5,00,000)
Rs. 10,00,001 and above	Rs. 1,10,000 + 30% of (Total Income minus Rs. 10,00,000)

Income Tax slab for resident Individual who is equal to or greater than 80 years of age (Super Senior Citizen)

Taxable Income Slab	Income Tax Rate & Cess
Up to Rs. 5 Lakh	Nil
Rs. 5,00,001 to Rs. 10,00,000	20% of (Total Income minus Rs. 5,00,000)
Rs. 10,00,001 and above	Rs. 1,00,000 + 30% of (Total Income minus Rs. 10,00,000)

Surcharge:

Taxable Income Range	Surcharge %	Marginal Rates
50 Lakhs to 1 Crore	10%	34.32
1 Crore to 2 Crores	15%	35.88
2 Crores to 5 Crores	25%	39
5 Crores and above	37%	42.74

- Note: The amount of Income Tax and Surcharge shall not increase the amount of income tax payable on the respective taxable income by more than the amount of increase in taxable income.
- Sec 87A relief up to Rs. 12,500 will be available to a resident individual whose total taxable income does not exceed Rs. 5,00,000.
- Section 87A rebate is applicable for only the taxpayer who is resident in India.
- Section 87A rebate is not applicable for PAN not available cases.

Health & Education Cess: 4% of the total of Income Tax and Surcharge.

Tax Calculation of PAN Not Available cases:

If the employee's PAN is not available and his total taxable income is less than the taxable limit (INR 250,000) within the tax year, then there is no tax withholding required.
For example: The taxable income for the year is INR 2,00,000. As it is less than the taxable limit of INR 2,50,000, there is no withholding tax due for the employee on the employment income of INR 2,00,000.

If the employee's total taxable income is INR 3,00,000 which is exceeding INR 2,50,000 (old regime), then the withholding u/s 206AA will be applicable - i.e., the higher of the graduated tax rates or a flat rate of 20%, which would be at flat rate of 20% @ INR 300,000 = INR 60,000.

Where the employee's taxable income exceeds the taxable limit (e.g. INR 250,001 or INR 400,001) in old or new regime respectively, the withholding tax for the employee without PAN will be calculated in accordance with Section 206AA of Income Tax Act 1961, regardless of the employee's taxable income, i.e. the taxes will be withheld at the higher of the following rates:

- at the rate specified in the relevant provision of this Act; or
- at the rate or rates in force; or
- at the rate of twenty per cent

Applicability of Surcharge and Cess - If the withholding tax is calculated at a flat rate of 20%, then Surcharge and Cess is not applicable. Otherwise, the Surcharge and Cess will be included in the withholding tax calculation.

Section 87A Rebate is not applicable, as this would only apply if the employee is assessed based on the graduated rates and the total income is less than INR 500,000. However, for such cases, the flat rate of 20% would result in a higher withholding tax.

What is Form 16?

Form 16 is a certificate issued by the employer every year to its employees under section 203 of Income Tax Act for Tax Deducted at Source from the Income chargeable under “Salaries”.

How do I Account for my Salary from More Than One Employer?

The employee is required to furnish details of the income, under "Salaries" due or received from the former/other employer to the present/current employer, and also tax deducted at source, in writing and duly verified by him and by the former/other employer in **Form 12B** (copy of this Form is available on ESS portal). The present/current employer will deduct tax at source based on the aggregate amount of salary (including salary received from the former or other employer), though it does not reflect on the Form 16 of the current employer.

How do I calculate my House Rent Allowance (HRA) and exemption thereon?

From the House Rent Allowance (HRA) received as part of salary during the year, least of the following three amounts are exempt from tax (or not included in income):

- Amount equal to 50% of annual salary for persons staying in metros (Mumbai, Chennai, Calcutta, or Delhi) and 40%, for other cities
- Actual amount of HRA received
- Amount of rent actually paid in excess of 10% of annual salary

For HRA exemption purpose, Salary is defined as basic salary, dearness allowance, and commission on fixed percentage, but not other allowances.

Example:

1. Salary for the entire year Rs. 300,000/- (Basic + Dearness Allowance)
2. Actual HRA received Rs. 72,000/-
3. Rent paid for the entire year Rs. 60,000/- (5000 pm * 12 months)

HRA exemption for this case is:

a) Actual HRA received = Rs. 72,000

b) Rent paid less 10% of Salary = Rs. 30,000 (60,000 minus 30,000 (10% of 300,000)

c) 40% of Salary (300,000) = Rs. 120,000

Least of the above, Rs. 30,000, is exempt from tax

How is the exemption on Leave Travel Allowance calculated?
(Refer to your HR policy also along with this note. Enclosed is a best practice interpretation)

Allowance to meet the cost of travel incurred by employee:

- Leave Travel Expenses exempt for 2 domestic journeys in a block of 4 calendar years (Current block is 2022 - 2025)
- One un-availed journey for previous block can be availed in the 1st year of the next block
- Assessee should be part of the travel throughout
- Boarding and lodging are not exempt
- Leave should be availed during the period of travel
- Only fare cost is exempt, which is restricted to:

Particulars	**Exempt Amount**
Journey performed by air	Economy fare by the shortest route or actual amount spent, whichever is the least.
Journey performed by rail	Air-conditioned first-class rail fare by the shortest route or actual amount spent, whichever is least.
Journey performed by any other mode but the origin and destination are covered by Rail	Air-conditioned first-class rail fare by the shortest route or actual amount spent, whichever is least.
Where the origin and destination are not connected by rail, and • Where an organized public transport exists • Where no organized public transport exists	• First class or deluxe class fare by shortest route or amount actually spent, whichever is least. • Air-conditioned first-class rail fare by shortest route or actual amount spent, whichever is least.

Example:
1. LTA received for the entire year = Rs. 40,000
2. Air tickets for the travel undertaken = Rs. 35,000

Rs. 35,000 is exempt from Income Tax.

Children Education Allowance

Rs.100 per month per child up to a maximum of two children, if provided as part of your compensation structure

What is Perquisite and how is it taxed?

Perquisites are emoluments or benefits received from an employer, in addition to salary, bonus, allowances, gratuity, etc. They include rent-free accommodation, free electricity, gas, or water supply, free domestic servant, etc. provided / paid for, by the employer. These perquisites are added to the Salary Income for arriving at the tax liability as per the applicable slabs. Examples of perquisites are:

1. Rent Free (commonly called Company Lease/Owned) Accommodation:

The Finance Act, 2023 brought in an amendment for the purposes of calculation of “perquisite” about the value of rent-free or concessional accommodation provided to an employee, by his employer. Accordingly, CBDT has modified Rule 3 of the Income-tax Rules, 1961 to provide for the same.

The categorization and the limits of cities and population have now been based on the 2011 census as against the 2001 census earlier. The revised limits of population are 40 lakhs in place of 25 lakhs and 15 lakhs in place of 10 lakhs. The earlier perquisite rates of 15%, 10% and 7.5% of the salary have now been reduced to 10%, 7.5% and 5% of the salary respectively in the amended Rule. This is summarized as under:

1. When employer owns the accommodation. The value of the accommodation is determined at the specified rate (refer to the following table) for the period in which the accommodation was occupied by the employee during the financial year.

Previous Categorization and Rates (up to 31.08.2023)		**New Categorization and Rates (from 01.09.2023 onwards)**	
Population	**Perquisite Rate**	**Population**	**Perquisite Rate**
More than 25 lakhs	15%	More than 40 lakhs	10%
Between 10 lakhs and 25 lakhs	10%	Between 15 lakhs and 40 lakhs	7.5%
Less than 10 lakhs	7.5%	Less than 15 lakhs	5%

2. When accommodation provided is **taken on lease/ rent by the employer,** 15% of the salary or the actual amount of lease rent payable by the employer, whichever is less, will be considered up to 31.08.2023. However, 10% of the salary or the actual amount of lease rent payable by the employer, whichever is less, will be considered from 01.09.2023 onwards. This amount will be reduced to the extent of the rent paid by the employee, if applicable.

For **furnished accommodation,** the value of perquisite is calculated as follows: The perquisite amount calculated above along with:

a) 10% of the cost of furniture, appliances, and equipment’s, or

b) If the furniture, appliances, and equipment have been taken on hire by the employer, the actual hire charges payable/paid.

In case the "same accommodation" is continued to be given to "same employee" for "more than one financial year", then the perquisite value from second year onwards shall be lower of:

a. Amount calculated for the relevant year considering the new rates and

b. Perquisite calculated for first previous year * (CII for the year of valuation/CII for the first previous year).

Other Key Notes:

- The population under new categorization is as per 2011 census and not as per 2001 census.
- The revised perquisites rates will be applicable from 1 September 2023.
- "First previous year" refers to either FY 2023-24 or the financial year in which the accommodation was provided to the employee whichever is later.
- In case of the furnished accommodation, the value of perquisite as determined above will be increased by 10% which is similar to the current practice.

Example 1: An employee, Mr. Bhat, lives in a city having a population of 35,00,000 Lakhs. His employer provides him with unfurnished accommodation throughout the financial year 2025-26. His monthly salary is INR 50,000. Compute the perquisite value of rent-free accommodation.

The perquisite value shall be computed as under:

Particulars	Sep-25 to Mar-26
Population of city	35,00,000
Monthly salary (A)	INR 50,000
No. of months for which accommodation is provided (B)	12 months
Salary for relevant period (C = A * B)	INR 6,00,000
Valuation rate (D)	7.50%
Perquisite value for relevant period (E = C * D)	INR 45,000

Example 2: Mr. Sharma's employer leases an unfurnished house for him and provides it as accommodation throughout the Financial Year 2025-26. Mr. Sharma's monthly salary is INR 70,000, and the actual rent paid by his employer for the house is INR 10,000 per month. Compute the perquisite value.

The perquisite value shall be computed as under:

Particulars	Apr-25 to Mar-26
Monthly salary (A)	INR 70,000
No. of months for which accommodation is provided (B)	12 months
Salary for relevant period (C = A * B)	INR 8,40,000
Valuation rate (D)	10%
Value of accommodation on basis of salary (E = C * D)	INR 84,000
Actual rent paid by employer for relevant period (F)	INR 120,000
Perquisite Value (G = Lower of F or E)	INR 84,000

2. Motor Car

If Car is owned by the Company:

Car Used for	Partially for official and partially for personal purposes.	
Expense paid by	Running and maintenance expense is reimbursed by the employer.	
Car CC	<1.6 cc	> 1.6 cc
Perk Amount	1800/-p.m	2400/-p.m

If Car is owned by the Employee:

Car Used for	Partially for official and partially for personal purposes.	
Expense paid by	Running and maintenance expense is reimbursed by the employer.	
Car CC	<1.6 cc	> 1.6 cc
Perk Amount	Actual Amount reimbursed less Rs.1800/-p.m	Actual Amount reimbursed less Rs. 2400/-p.m

Driver Salary

Car Owned by	Employer	Employee
Perk Amount	Rs.900/-pm	Actual driver salary reimbursed reduced by Rs,900/-p.m.

Other Vehicles

The actual amount of expenditure reimbursed by the employer less Rs. 900 p.m will be considered as perquisite.

3. Food Coupon:

Valuation of perquisite for free food and non-alcoholic beverages provided by the employer to an employee shall be the amount of expenditure incurred by such employer and shall be reduced by the amount, if any, paid or recovered from the employee for such benefit or amenity.

An exception is provided by way of a proviso to exclude the value of free food and non-alcoholic beverages provided by such employer during working hours at office or business premises or through paid vouchers which are not transferable and usable only at eating joints, to the extent the value thereof in either case does not exceed Rs. 50 per meal or to tea or snacks provided during working hours or to free food and non-alcoholic beverages during working hours provided in a remote area or an offshore installation.

This exception will not be available if in case the new tax regime is opted. Thus, free food and non-alcoholic beverages provided by the employer even during working hours at office or business premises shall be fully taxable in the hands of those employees who have opted for the New Regime.

However, the exemption for meal card is available only up to Rs. 50/-per meal or tea or snacks, and the balance will be taxed as salary income for Old Regime opted employees.

4. Gas, Electricity and Water

The value of perquisite is the amount paid by the employer to the agency supplying the amenity (free supply of gas, electricity and water) for household consumption. Any amount paid by the employee for such facilities or services shall be reduced from the above amount.

5. Interest free or concessional loans

The value of perquisite is the excess of interest payable at prescribed interest rate over interest actually paid by the employee, or any member of his household. The prescribed interest rate is the rate charged by the State Bank of India as on the 1st day of the relevant financial year.

The aggregate loan amounts (from Personal, Vehicle & Housing) should be more than Rs.20000/- for this perquisite to apply.

6. Use of Movable assets

If the employee uses an asset owned by the employer, perquisite is charged at the rate of 10% of the original cost of the asset, as reduced by any charges recovered from the employee for such use. These include household furniture, white goods, though computers and laptops are not covered under this perquisite.

What amount gets deducted under section 16?

(a) Standard Deduction

Rs. 50,000 in lieu of Transport Allowance and Reimbursement of Misc. Medical Expenditure if the tax regime opted by employee is Old Regime. However, if the employee has opted for New Regime, the Standard Deduction will be 75000 from FY-2024-25 onwards.

(b) Tax on Employment / Professional Tax

Professional tax or tax on employment levied by the state is allowed as a deduction in the case of Old Regime opted employees. This deduction is not available for New Regime employees.

How do I account for my loss on House Property?

For Self Occupied property

House that is constructed or acquired after April 1999 by using borrowed capital, interest on such borrowed capital up to an amount of Rs. 200,000.00 can be claimed as a deduction. In case, the house was acquired / constructed prior to April 1999, the amount of deduction is Rs. 30,000.

No deemed rental income on having two residential house properties: If an individual owns more than one self-occupied house property then only one house property as per his choice is treated as self-occupied and its annual value is computed as nil. The other house property is deemed to be let-out as per section 23 and a notional rent is computed and charged to tax under the head 'Income from House Property'. Section 23 has been amended with effect from 01/04/2019 to provide relief to the taxpayers by allowing them an option to claim nil annual value in respect of any two houses declared as self-occupied. Though from F.Y. 2019-20, an assessee can claim annual value as nil in respect of two-self occupied house properties. However, there is no change in aggregate limit for deduction in respect of interest on housing loan. The aggregate deduction for interest on housing loan for both houses cannot exceed Rs. 30000 or Rs. 2,00,000 (as the case may be).

For Let Out property

Rent received for let out property reduced by Interest on borrowed capital and 30% of the net annual value for repair and maintenance is taken as loss / profit.

For both the above, the assessee must produce a certificate from the lender specifying the interest payable towards the capital borrowed for construction or acquisition of a house. Only interest paid post completion of house is entitled / eligible for deduction and Pre-EMI interest is amortized over a period of 5 years.

Example:

1. Interest payable on housing loan (Loan taken after 01.04.1999): 280,000
2. Pre-EMI paid is Rs. 30,000
3. Rent received (in case of Let Out Property) Rs. 36000/- pa

For Self-Occupied property

Interest on housing loan (loan post 01/04/1999) is Rs. 280,000
Pre EMI at 20% on Rs. 30,000/- (Amortized over 5 years) is Rs. 6,000/-
Total loss is Rs. 286,000 however maximum allowed is restricted to Rs. 200,000/-

For Let out Property

Interest on borrowed capital is Rs. 280,000/-
Pre EMI at 20% (Amortized over 5 years) is Rs. 6,000/-
30% of annual value (36,000) is 10,800 (for repairs and maintenance)
Total of 286,000 is reduced by Rs. 25,200 (rent received maintenance) = 260,800

Total loss eligible for deduction is restricted to maximum of Rs.200, 000

Provisions under the Income-tax Law in relation to carry forward and set-off of house property loss:

If loss under the head "Income from house property" cannot be fully adjusted in the year in which such loss is incurred, then unadjusted loss can be carried forward to next year. In the subsequent years(s) such loss can be adjusted only against income chargeable to tax under the head "Income from house property". Such loss can be carried forward for eight years immediately succeeding the year in which the loss is incurred.

Examples for housing Loan interest benefit:					
Scenarios	**Self-Occupied 1**	**Self-Occupied 2**	**Let-Out Property**	**Total Benefit**	**Interest to be C/F (applicable to let out only)**
1	**-250000**	**-150000**	**-450000**	**-200000**	**-450000**
2	**-150000**	**0**	**-450000**	**-200000**	**-400000**
3	**-150000**	**0**	**450000**	**-150000**	**0**
4	**0**	**0**	**-450000**	**-200000**	**-250000**

Notes:

- The option for carry forward of unadjusted loss under the head 'Income From House Property' is available only in the case Old Regime.
- When income tax is calculated according to the New Regime, interest paid on self- occupied house property cannot be adjusted with let out property income or such interest cannot be clubbed with let-out hose property interest.
- In other words, self-occupied house property interest does not have any tax implications in the case of New Regime.

What are the various Deductions allowed under Chapter VI A?

Under 80C, an employee is entitled to deductions for the amounts paid or deposited in the current financial year in the following schemes, subject to a limit of Rs.150,000/.

- Life Insurance Premium
- Contributions to Pension Fund (80CCC)
- Contributions to recognized Provident Fund / V P F / PPF
- Contributions to approved Superannuation Fund
- Contribution to U L I P, 1971 of Unit Trust of India
- Contribution to U L I P of LIC Mutual Funds
- Annuity with any Insurance Company
- Subscription to Tax Saving Mutual Funds
- Subscription to NSC & Interest accrued on NSC subscription
- Repayment of Housing Loan principal
- Children Tuition Fees (education)
- Tax Saving Term Deposits - Scheduled Bank (5 years and more)
- Deposit under the Senior Citizen Saving Rules.
- Five Year time deposit in an account under the Post Office Time Deposit Rules
- Investment in Sukanya Samriddhi Scheme

Example:

1. Investments in LIC Rs.80000/-, PPF Rs.70000/-
   Deduction available will be Rs. 150000/-
2. Investments in LIC Rs.30000/-, PPF Rs.100000/- and Infrastructure Bonds Rs.70000/-
   Deduction available will be Rs. 150000/-
3. Investments in Infrastructure Bonds Rs.120000/-
   Deduction available will be Rs. 120000/-
4. Investments in LIC Rs.30000/-, PPF Rs.30000/-, and Infrastructure Bonds Rs.30000/-
   Deduction available will be Rs. 90000/-

Section 80D: Deduction for premium paid for Medical Insurance

Deduction under this section is available to an individual or a HUF. A deduction of Rs. 25,000 can be claimed for insurance of self, spouse and dependent children. An additional deduction for insurance of parents is available to the extent of Rs 25,000 if they are less than 60 years of age or Rs 50,000 (has been increased in Budget 2018 from Rs 30,000) if parents are more than 60 years old.

Therefore, the maximum deduction available under this section is to the extent of Rs. 100,000

From FY 2015-16 a cumulative additional deduction of Rs. 5,000 is allowed for preventive health check up to individuals.

Medical expenditure incurred by assessee on the health of a senior citizen aged 60 years and above provided that no amount has been paid to effect or to keep in force an insurance on the health.
The Income Tax Act does not define medical expenditure. Though medical expenditure is not defined anywhere in the Act, but going by the motive, expenses such as consultation fees, medicines, hearing aids and so on can be claimed as deduction.

Along with not defining the term medical expenditure, the Income Tax Act also does not specify what documents you should keep claiming this deduction. Even then, it would be prudent to keep documentary evidence such as medical bills, invoice of medicines and others, in case the income tax department asks you to prove the claim of your deduction.

To establish the proof of medical expenses, one must keep the doctor's prescription along with the copy of invoices/receipts of the consultation fees, diagnostic tests, medicine bills etc. would be required.

Remember medical expenditure on certain specified illnesses are also covered under Section 80DDB. If you have exhausted the limit under this section, you can claim deduction for the medical expenses under section 80D, provided you satisfy other conditions. These conditions are: (i) expenses should be incurred for a person aged 60 years and above and (ii) he/she should not be covered under any health insurance policy.

Particulars	**Case-1**		**Case-2**		**Case-3**	
	Self & Family (no one of them is a senior citizen)	**Parents (no one of them is a senior citizen)**	**Self & Family (no one of them is a senior citizen)**	**Parents (at least one of them is a senior citizen)**	**Self & Family (at least one of them is a senior citizen)**	**Parents (at least one of them is a senior citizen)**
Medical Insurance, etc.*	25,000	25,000	25,000	50,000	50,000	50,000
Medical Expenditure**	--	--	--	50,000	50,000	50,000
Maximum deduction allowable	25,000	25,000	25,000	50,000	50,000	50,000
Aggregate amount of deduction allowable under section 80D	**50,000**		**75,000**		**100,000**	

* Includes (i) contribution to the Central Government Health Scheme/notified scheme for self & family; and (ii) amount paid for preventive health check-up up to INR 5,000.

** Allowable only if no amount is paid for medical insurance.

Note: The payment for preventive health check-up can only be made in cash, other payments must be made by non-cash mode.

80DD - Medical Treatment for Handicapped Dependent

Deduction on medical treatment and maintenance of handicapped dependant up to Rs.75,000 for disability below 80% and Rs. 1,25,000 for disability above 80%

80DDB –Medical Treatment for Specified Illness/Diseases

Deduction on medical treatment of specified illness/diseases is up to Rs.40000/- for assessee or his dependent. In case of assessee or his dependent being senior citizen or super senior citizen, deduction is up to Rs.100000/- or actual expenditure whichever is lower. Further the deduction amount will be reduced from the amount recovered from the insurer or from the employer.

80E –Interest on Education Loan

The said deduction in respect of interest on loan taken for higher Education of Individual's relative also will be allowed i.e., 100% of amount of interest paid on such loan. "Relative" is defined in the mean the spouse and children of the individual.

Deduction is allowed in respect of Interest on Loans taken for pursuing higher education in specified fields of study to be extended to cover all fields of study, including vocational studies, pursued after completion of school. Interest paid for the first 8 years on loans taken for Higher Education such as Engineering / Medical etc. The deduction is available for a maximum of 8 years (beginning the year in which the loan starts getting repaid) or till the entire interest is repaid, whichever is earlier.

80EE - Interest on loan for acquiring residential house property, sanctioned during FY 2016-17

Additional exemption of Rs. 50,000 for housing loans up to Rs. 35 lakhs provided cost of house is not above Rs. 50 lakhs (new loans taken in the FY 2016-17).

80EEA - Additional Housing Loan Interest Benefit Apr19-Mar22

A deduction for interest payments up to Rs 1,50,000 is available under Section 80EEA. This deduction is over and above the deduction of Rs 2 lakh for interest payments available under Section 24 of the Income Tax Act.

Therefore, taxpayers can claim a total deduction of Rs 3.5L for interest on home loan if they meet the conditions of section 80EEA.

The conditions are as follows:

a) The loan must be taken between April 1, 2019 and March 31, 2022;
b) The value of house property must not exceed Rs 45 lakh; and
c) Individual should not own any house on the date of sanctioning of loan.
d) The individual taxpayer should not be eligible to claim deduction under the existing Section 80EE.

80U - Permanent Physical Disability Including Blindness

An assessee certified by the medical authority with permanent physical disability is allowed a deduction of Rs. 75,000, and in case the assessee is certified with (severe) permanent physical disability (More than 80%), the deduction of Rs. 1,25,000 will qualify for deduction.

80G - Donations

Section 80G provides for deductions on account of donation made to various funds, charitable organizations etc. Generally, no deduction will be allowed by the D.D.O. from the salary income in respect of any donations made for charitable purposes. The tax relief on such donations as admissible under section 80G of the Act, will have to be claimed by the taxpayer in the return of income.

However, in cases where employees make donations to the Prime Minister's National Relief Fund, the Chief Minister's Relief Fund or the Lieutenant Governor's Relief Fund through their respective employers, it is not possible for such funds to issue separate certificate to every such employee in respect of donations made to such funds as contributions made to these funds are in the form of a consolidated cheque. An employee who makes donations towards these nationalized funds is eligible to claim deduction under section 80G. It is, hereby, clarified that the claim in respect of such donations as indicated above will be admissible under section 80G based on the certificate issued by the Drawing and Disbursing Officer (DDO)/Employer in this behalf - Circular No. 2/2005, dated 12-1-2005.

80TTA - Interest on Savings Bank account

Maximum deduction allowed on Interest from savings account under Sec 80TTA is Rs.10,000/-. Interest from savings account declared will also be accounted as "Other Income". Sec 80TTB will allow a deduction up to Rs 50,000/- in respect of interest income from deposits held by senior citizens. However, no deduction under section 80TTA shall be allowed in these cases.

80CCD (1): Deduction to NPS Scheme for Contribution by the Individual

Maximum deduction is allowed under this section is within the overall Sec 80CCE limit of Rs.1,50,000/-. Section 80CCE comprises of sub-sections 80C, 80CCC, 80CCD (1).

80CCD (1B) – Additional Voluntary contribution by individual on NPS

This additional benefit of Rs. 50,000 is over and above the benefit of Rs. 1.5 lakhs allowed to be claimed as a deduction under Section 80CCE. Therefore, now the total deduction that can be claimed under Section 80CCE + Section 80CCD (1B) = Rs. 2 Lakhs.

Atal Pension Yojana (APY), a pension scheme launched by Government of India is focused on the unorganized sector workers. Under the APY, minimum guaranteed pension of Rs. 1,000/- or 2,000/- or 3,000/- or 4,000 or 5,000/- per month will start after attaining the age of 60 years depending on the contributions by the subscribers for their chosen pension amount.

Any Citizen of India can join APY scheme. However, from 1st October,2022, any citizen who is or has been an Income Taxpayer, shall not be eligible to join Atal Pension Yojana.

The following are the eligibility criteria's:

(i) The age of the subscriber should be between 18 and 40 years.
(ii) He/she should have a savings bank account/ post office savings bank account.
A person who is in age group of 18 years to 39 years 364 days can join Atal Pension Yojana.

The contribution amount shall depend on the age of the subscriber at the time of opening of APY account, frequency of contribution and the pension slab chosen.

The contributions to be made at monthly / quarterly / half yearly intervals through auto debit facility from savings bank account/ post office savings bank account of the subscriber. The receipt/challan copy issued by the Bank or Post office or the transaction statement of APY account from the Bank or Post office to be submitted towards APY contribution as a proof.

Contributions made by an individual under the Atal Pension Yojana are eligible for the deductions under section 80CCD of the Income Tax Act, 1961. Maximum deduction allowed under section 80CCD (1) of the Income Tax Act, 1961 is Rs.1,50,000 p.a. as specified under section 80CCE of the Income Tax Act. An additional contribution of Rs. 50,000 p.a. is eligible for an additional deduction of Rs. 50,000 p.a. under section 80CCD(1B) of the Income Tax Act, 1961.

NPS Vatsalya: Scope of Section 80CCD is extended where deduction is allowed from FY-2025-2026 to the parent/guardian under the old taxation regime for amount deposited in the account of any minor child (up to 2 children) under the NPS-Vatsalya also. Deduction shall be allowed u/s 80CCD(1B). Overall cap of Rs. 50,000 under the said sub-section cumulatively for self and such minor child (up to 2 children) shall continue as earlier.

80CCD (2) - National Pension Scheme (NPS Employer Contribution)

The provisions under Section 80 CCD (2) come into effect when an employer is contributing to the NPS of an employee. This section applies to only salaried individuals and not to self-employed individuals. The deductions under this Section can be availed over and above those of Section 80 CCD (1) and 80CCD (1B). Section 80CCD (2) allows salaried individuals to claim deductions up to 10% in the case of Old Regime and 14% in the case of New Regime opted employees of their salary which includes the basic pay and dearness allowance or is equal to the contributions made by the employer towards the NPS, whichever is less.

80EEB - Electric Vehicle Loan Interest Benefit Apr19-Mar23

The deduction under this section is available only to individuals. This deduction is not available to any other taxpayer.

A deduction for interest payments up to Rs 1,50,000 is available under Section 80EEB. An individual taxpayer may have an electric vehicle for personal use or for business use. This deduction would facilitate individuals having an electric vehicle for personal use to claim the interest paid on the vehicle loan.

Conditions for claiming the deduction:

a) The loan must be taken from a financial institution or a non-banking financial company for buying an electric vehicle.
b) The loan must be sanctioned anytime during the period starting from 1 April 2019 till 31 March 2023.
c) "Electric vehicle" has been defined to mean a vehicle which is powered exclusively by an electric motor whose traction energy is supplied exclusively by traction battery installed in the vehicle and has such electric regenerative braking system, which during braking provides for the conversion of vehicle kinetic energy into electrical energy.
d) Do note that an individual taxpayer should obtain the interest paid certificate and keep the necessary documents such as tax invoice and loan documents handy at the time of filing of the return.

80GGC – Donation to Political Party

To claim deduction under section 80GGC, the individual is required to make donations / contributions only to a political party or an electoral trust.

It should be noted here that, the political party referred above covers only a political party which is registered under Section 29A of the Representation of the People Act, 1951. Any donation / contribution to any other political party would not qualify as a deduction under section 80GGC.

The deduction cannot be claimed by local authorities and every artificial juridical person which is either wholly or partly funded by the Government.

The whole of the amount of contribution / donation is available as a deduction under section 80GGC. In other words, a 100% deduction is available to an amount contributed towards a political party or an electoral trust under section 80GGC. However, total amount of deduction allowed to an assessee cannot exceed the total taxable income of an assessee.

For claiming deduction under section 80GGC, an assessee can adopt any mode of payment which is linked through a banking channel like online net banking or demand draft or cheque or debit card etc.

Any contribution / donations through cash is not eligible for deduction under section 80GGC.

Further, any donations made in kind also doesn’t qualify for deduction under section 80GGC.

Income Tax slabs for New Regime

With effect from Financial Year 2025-2026, the following rates provided under the Section 115BAC (New Tax Regime) of the Income Tax Act are the rates applicable for determining the income tax payable in respect of the total income of a person, being an individual or Hindu undivided family or association of persons [other than a co-operative society], or body of individuals, whether incorporated or not, or an artificial juridical person.

New Personal Tax Regime u/s 115BAC to be the default Regime from FY 2023-24. If no intimation is made by the employee to the employer about his/her intended tax regime, then it shall be presumed that the employee continues to be in the default tax regime and has not exercised the option to opt out of the new tax regime.

New Regime Income Tax Slab	
Irrespective of the age of assessee	
Income Tax Slab	**Tax Rate**
From 0 to 4 Lakhs	0%
From 4 to 8 Lakhs	5%
From 8 to 12 Lakhs	10%
From 12 to 16 Lakhs	15%
From 16 to 20 Lakhs	20%
From 20 to 24 Lakhs	25%
From 24 Lakhs & Above	30%

Notes:

- These New Tax Regime rates are applicable for all the genders and irrespective of their age.
- Deduction under Section 16(ia) in respect of Standard Deduction of maximum INR 75,000 is available under New Tax Regime.
- In the New Tax Regime, a taxpayer will have to forgo all the commonly available tax deductions and exemptions such as those available under section 80C, 80D, LTA exemption, HRA exemption, Professional Tax, Housing Loan Interest etc. except for section 80CCD (2), i.e., Employer's Contribution to NPS.
- The taxable income rebate limit under Sec 87A in the New Tax Regime is INR 12,00,000, meaning that taxpayers in the New Tax Regime with income up to INR 12,00,000 will not have to pay any income tax. Hence, taxpayers will get the maximum rebate amount of INR 60,000 under New Tax Regime.
- Section 87A rebate is applicable for only the taxpayer who is resident in India.
- Section 87A rebate is not applicable for PAN not available cases.
- Health & Education Cess: 4% of the total of Income Tax and Surcharge.
- Following are the surcharge rates under new tax regime:

Taxable Income Range	Surcharge %	Marginal Rates
50 Lakhs to 1 Crore	10%	34.32
1 Crore to 2 Crores	15%	35.88
2 Crores and above	25%	39

Marginal relief to a resident individual opting New Tax Regime [Section 87A]:

Section 87A will allow a marginal relief if the total income marginally exceeds Rs. 12,00,000. The marginal rebate under Section 87A shall be computed in the following steps:

Step 1: Calculate tax payable on total income before rebate under Section 87A

Step 2: Calculate the difference between total income and Rs. 12,00,000.

Step 3: Calculate the difference between Step 1 and Step 2.

Step 4: If the figure in Step 3 is positive, the difference will be the rebate allowed under Section 87A. However, if the figure is negative, then no rebate shall be allowed under Section 87A.

The marginal rebate on different ranges of incomes has been computed in the following table for easy understanding:

Taxable Income	Taxable Income (Rounded Off)	Tax Liability before rabate under Section 87A	Taxable Income in Excess of INR 12,00,000	Excess of tax over Taxable Income	Rebate under Section 87A	Net Tax Liability after rebate (Before Cess)
	(a)	(b)	[(c) =(a) (-) INR12 Lakhs)	[(d) = (b)-(c)]	(e)	[(f)=(b)-(e)]
1200000	1200000	60000	0	60000	60000	0
1220000	1220000	63000	20000	43000	43000	20000
1250000	1250000	67500	50000	17500	17500	50000
1270000	1270000	70500	70000	500	500	70000
1270580	1270580	70587	70580	7	7	70580
1270590	1270590	70589	70590	-1	0	70589
1271000	1271000	70650	71000	-350	0	70650

Ministry of Finance had released Circular No. 04 of 2023 dated 05.04.2023 to provide clarification regarding deduction of TDS under Section 192 read with sub-section (1A) of Section 115BAC of the Income Tax Act, 1961. This circular is in supersession of Circular C1 of 2020 dated 13.04.2020 and shall be applicable for TDS during the Financial Year 2023-24 and subsequent years.

Extract of the circular:

Vide Finance Act, 2023, sub-section (1A) has been inserted in section 115BAC of the Income-tax Act, 1961 (the Act) to provide for a new tax regime with effect from the assessment year beginning on or after the 1st day of April 2024. This regime applies to an individual or Hindu undivided family or association of persons [other than a cooperative society] or body of individuals, whether incorporated or not, or an artificial juridical person. Under this new regime, the income-tax in respect of the total income of the person shall be computed at the rates provided in sub-section (1A) of section 115BAC, subject to certain conditions, including the condition that the person does not avail of specified exemptions and deductions.

The above-mentioned new tax regime is the default tax regime applicable to all persons mentioned above. However, under sub-section (6) of section 115BAC of the Act, a person may exercise an option to opt out of this tax regime. A person not having income from business or profession can exercise this option every year.

Representations have been received expressing concerns regarding tax to be deducted at source (TDS) on salary income of a person under section 192 of the Act as the deductor, being an employer, would not know if the person, being an employee, would opt out from taxation under sub-section (1 A) of section 115BAC of the Act or not.

In order to avoid the genuine hardship in such cases, the Board, in exercise of powers conferred under section 119 of the Act, hereby directs that a deductor, being an employer, shall seek information from each of its employees having income under section 192 of the Act regarding their intended tax regime and each such employee shall intimate the same to the deductor, being his employer, regarding his intended tax regime for each year and upon intimation, the deductor shall compute his total income, and deduct tax at source thereon according to the option exercised.

If intimation is not made by the employee, it shall be presumed that the employee continues to be in the default tax regime and has not exercised the option to opt out of the new tax regime. Accordingly, in such a case, the employer shall deduct tax at source, on income under section 192 of the Act, in accordance with the rates provided under sub-section (1A) of section 115BAC of the Act. It is also clarified that the intimation would not amount to exercising option in terms of sub-section (6) of section 115BAC of the Act and the person shall be required to do so separately in accordance with the provisions of the sub-section.

Following are some of the frequently asked questions related to New Tax Regime:

1. What is Form 10-IEA?

Earlier, till FY 2022-23 when the new tax regime was not the default tax regime, individuals had to file Form 10-IE to specify their willingness to choose the new tax regime. However, starting FY 2023-24, the new tax regime has been set as the default tax regime. This means that if the taxpayer does not specify their intent to choose the old regime, they will be automatically enrolled in the new regime.

The default new tax regime indicates that individuals, HUF without any professional or business income can opt out of the new tax regime directly at the time of filing tax returns.

Form 10 IEA can be used to indicate the preference for the old tax regime by Individuals, HUF, AOP (other than co-operative societies), BOI & Artificial Judicial Persons (AJP) having income from business and profession. They must mandatorily submit Form 10-IEA within the specified time frame under section 139(1) if they want to switch their tax regime from new to old or if they want to re-enter from old to new.

In other words, for business cases, form 10-IEA has been notified vide Notification No.43/2023 dated 21st June 2023 which can be used by taxpayers to exercise their right to choose between the old or the new regime. This form can be filed twice in lifetime i.e., one for opt out of new tax regime and one for re-entering into the new tax regime.

2. While filing the ITR for FY 2024-25, I want to opt for the old tax regime instead of the default new tax regime. Should I file Form 10-IEA before filing his income tax return (ITR)?

Form 10-IEA is a declaration made by the return filers for choosing the 'Opting Out of New Tax Regime'. An individual, HUF, AOP (not being co-operative societies), BOI, or artificial judicial person with business or professional income must submit Form 10-IEA if they wish to pay income tax as per the old tax regime. On the other hand, taxpayers who do not have income from business or profession can simply tick "Opting out of the new regime" in the ITR form without the need to file Form 10-IEA. Simply put, only those who file ITR-3, ITR-4, or ITR-5 must submit Form 10-IEA if they have business income (other than coop societies). Individuals and HUFs filing their returns on Forms ITR-1 or 2 are not required to submit Form 10-IEA.

3. I am filing ITR with the default new regime for FY 2024–25. Can I switch between the old and new tax regimes in the next few years?

An individual, HUF, AOP (not being co-operative societies), BOI, or artificial judicial person with business or professional income will not be eligible to choose between the two regimes every year. Once they opt out of the new tax regime, they have only one chance to switch to the new regime. Once they switch back to the new regime, they won’t be able to choose the old regime anytime in the future. An individual with non-business income can switch between the new and old tax regimes every year. Within the same year, again, it is emphasized that the choice of old tax regime can be made only before the due date of filing the return under Section 139(1) of the IT Act.

4. I have business income and have opted in and opted out of the new regime in the previous years before to FY 2023-24. Whether those regime changes will impact in any other way on my regime selection from FY 2023-24?

Please note that, the new tax regime is the default regime from FY 2023–24. Any actions in any previous years before to FY 2023-24 with respect to choice of regimes will not be applicable from FY 2023-24. You are required to submit Form 10-IEA again if you want to opt for the old regime from FY 2023-24.

5. I have business income; I have wrongly filed Form 10-IEA but want to file the return under the new tax regime. As there is no option to withdraw Form 10-IEA, in that case, can my return be filed under the new tax regime?

Once Form 10IEA is filed, then it cannot be revoked or withdrawn in the same Assessment Year. If you wish to re-enter the new tax regime, then you can file Form 10IEA for the withdrawal option in the next Assessment Year. Again, it is emphasized that the choice of old tax regime can be made only before the due date of filing the return under Section 139(1) of the IT Act.

Applicability of Tax Benefits – Old Regime v/s New Regime:

Tax Benefits	**Old Regime**	**New Regime**
Sec 10 Exemptions		
Leave Travel Allowance under Sec 10(5)	Allowed	Not Allowed
Gratuity under Sec 10(10)	Allowed	Allowed
Leave Encashment at the time of separation under Sec 10(10AA) (The maximum amount which can be exempted is INR 25 lakhs from FY 2023-2024 onwards)	Allowed	Allowed
Retrenchment Compensation under Sec 10(10B)	Allowed	Allowed
Voluntary Retirement Scheme under Sec 10 (10C)	Allowed	Allowed
House Rent Allowance under Sec 10(13A)	Allowed	Not Allowed
Conveyance under Section 10(14) for disabled (divyang) employees	Allowed	Allowed
Exemptions of certain Allowances under section 10(14) like Children Education Allowance, Hostel Allowance, Uniform Allowance etc.,	Allowed	Not Allowed
Sec 16 Deductions		
Standard Deduction under Sec 16(ia)	Allowed	Allowed
Tax on Employment under Sec 16(iii)	Allowed	Not Allowed
Chapter VIA Deductions		
Chap VI Deductions - 80C, 80CCC, 80CCD (1), 80CCD(1B), 80D, 80DD, 80DDB, 80E, 80EE, 80EEA, 80EEB, 80U, 80TTA, 80TTB, 80G etc.,	Allowed	Not Allowed
Employer Contribution towards NPS u/s 80CCD (2)	Allowed	Allowed
Sec 24(b) Benefits		
Interest on borrowed Housing Loan for a Self-occupied Property	Allowed	Not Allowed
Set off any loss from House Property to any other head	Allowed	Not Allowed
Interest paid towards Housing loan - For Income from Let-out property **(Intra-headset-off of losses allowed in case of income from Let-out property, but loss cannot be set-off with the other head of Income in new regime)	Allowed	Not Allowed

Notification No. 38/2020-Income Tax dated 26th June 2020- CBDT amended Rule 2BB notifying that a salaried employee who opts for new Concessional Tax Regime can claim following Exempt Allowances as under Section 10(14) of Income Tax Act, 1961:

1. Tour/Transfer Allowance
2. Daily Allowance when on Travel
3. Conveyance Allowance for Duties
4. Transport Allowance for Handicapped

Notification denies benefit of exemption to those who opted for new tax Regime in respect of free food and nonalcoholic beverage which was earlier available even if value does not exceed fifty rupees per meal or to tea or snacks provided during working hour.

Amendment in Rules related to allowances for the purposes of clause (14) of section 10 for those who opted Lower Tax Rate Option- Section 115BAC:

An employee, being an assessee, who has exercised Lower Income Tax Rate option under sub-section (5) of section 115BAC shall be entitled to exemption only in respect of the allowances mentioned in sub-clauses (a) to (c) of sub-rule (1) and at serial no. 11 of the Table below sub-rule (2) to the extent and subject to the conditions, if any, specified therein

Clause sub-clauses (a) to (c) of sub-rule (1) of Rule 2BB are as follows:

(a) any allowance granted to meet the cost of travel on tour or on transfer.
(b) any allowance, whether, granted on tour or for the period of journey in connection with transfer, to meet the ordinary daily charges incurred by an employee on account of absence from his normal place of duty.
(c) any allowance granted to meet the expenditure incurred on conveyance in performance of duties of an office or employment of profit, provided that free conveyance is not provided by the employer.
(d) any transport allowance granted to an employee, who is blind [or deaf and dumb] or orthopedically handicapped with disability of lower extremities, to meet his expenditure for the purpose of commuting between the place of his residence and the place of his duty - Rs. 3,200 per month.

Extract of Revised clause (iii) of sub-rule (7) of Income Tax rule 3 related to Valuation of perquisites:

No exemption for free food and non-alcoholic beverage provided by such employer through paid voucher.

Rule 3 deals with valuation of perquisites. Rule 3(7)(iii) provides for valuation of perquisites for free food and non-alcoholic beverages provided by the employer to an employee. The value of such perquisite shall be the amount of expenditure incurred by such employer and shall be reduced by the amount, if any, paid or recovered from the employee for such benefit or amenity.

An exception is provided by way of a proviso to exclude the value of free food and non-alcoholic beverages provided by such employer during working hours at office or business premises or through paid vouchers which are not transferable and usable only at eating joints, to the extent the value thereof in either case does not exceed Rs. 50 per meal or to tea or snacks provided during working hours or to free food and non-alcoholic beverages during working hours provided in a remote area or an offshore installation.

This exception is withdrawn in case the new tax regime is opted. Thus, free food and non-alcoholic beverages provided by the employer even during working hours at office or business premises shall be fully taxable in the hands of those employees who have opted for the new tax regime.

Capping on Employer's contribution (applicable for both Old & New Regime):

Employer funded retirement schemes such as Employee Provident Fund, National Pension Scheme, and Approved Superannuation Fund are currently nontaxable to the employee up to 12% for PF, 10% for NPS, INR 150,000/- per annum for SAF respectively.

The combined cap of INR 750000 per annum has been introduced in Budget 2020-21 in respect of the Employer's Contribution to these schemes and amount in excess of INR 750000 will be taxed as perquisite in the hands of the employees.

Any annual accretion by way of interest, dividend, or any other amount of similar nature during the financial year to the balance at the credit of the fund or scheme may be treated as perquisite to the extent it relates to the employer's contribution which is included in total income.

While the excess employer contribution above Rs. 7.5 lakhs p.a. is taxable u/s 17(2) (vii), the annual accretion attributable to such excess contribution is taxable u/s 17(2) (viia). These provisions are applicable from FY 2020-21 onwards.

The CBDT had notified a new Rule 3B (Rule) on 5th March 2021 with effect from 1st April 2020. The Rule prescribed a formulary approach for computing the value of annual accretion on excess contributions. The Rule prescribes the following formula:

TP = (PC/2) *R + (PC1+TP1) *R

Where,

TP = taxable perquisite under Sec 17(2) (viia) for the current tax year

TP1 = Aggregate of taxable perquisite under Sec 17(2) (viia) for the tax year or years commencing on or after 1 April 2020 other than the current tax year

PC = Amount or aggregate of amounts of principal contribution made by the employer in excess of INR 750,000 to the specified funds during the current tax year

PC1 = Amount or aggregate of amounts of principal contribution made by the employer in excess of INR 750,000 to the specified funds for the tax year or years commencing on or after 1 April 2020 other than the current tax year (see 'Note' below)

R = I/ Favg

I = Amount or aggregate of amounts of income accrued during the current tax year in the specified funds

Favg = (Amount or aggregate of amounts of balance to the credit of the specified funds on the first day of the current tax year + Amount or aggregate of amounts of balance to the credit of the specified funds on the last day of the current tax year)/2.

Note: Where the amount or aggregate of amounts of TP1 and PC1 exceeds the amount or aggregate of amounts of balance to the credit of the specified funds on the first day of the current previous year, then such excess shall be ignored for the purpose of computing the amount or aggregate of amounts of TP1 and PC1.

Taxability of Interest on Employee's PF & VPF Contribution (applicable for both Old & New Regime):

Any interest income accrued during the Financial Year shall be taxable to the extent it relates to the amount or aggregate of amounts of contribution exceeding INR 2,50,000 made in a Financial Year on or after 1st April 2021 and computed in such manner as may be prescribed.
The provision is applicable for employee's contribution only. The employer's contribution is not covered in this provision.

The interest income earned on excess contribution will be taxable only in those cases where the employees' annual PF and VPF contribution exceeds Rs. 2.5 lakhs.

The interest income accruing in respect of the employee's contribution over Rs. 2.5 lakhs shall be taxable under the head 'Income from Other Sources' as it is not accruing from an employer-employee relationship.

Illustration showing interest calculation and TDS thereon:

Mr. XYZ has an annual salary (Basic + DA) of INR 25 Lakhs.
His contribution to PF is 12% in the FY 2021-22.
Assuming the rate of interest on EPF is 8.5% per annum, his tax liability will be calculated in the following manner:

His Contribution in the Fund = 25 Lakhs *12% = INR 3 Lakhs
Excess contribution (INR 3 Lakhs-2.50 Lakhs) = INR 50,000
Interest on excess contribution = INR 50,000*8.5% = INR 4250

This amount of Rs. 4250 will be added to the employee's taxable income as 'Income from Other Sources' and taxed according to his tax slab. There are no special rates for the taxability of this interest. Hence, such income shall be taxed at the prevailing income tax rates.

Note:

The government had raised the threshold limit of tax-exempt contributions to the Provident Fund (PF) to Rs 5 lakh (from Rs 2.5 lakh announced in Budget 2021), subject to certain conditions. This increased tax-exempt limit is applicable to only those PF contributions where there is no employer contribution.

The calculation logic be better understood considering the following example:

Amount (in INR) Contributed by employee during Financial Year	Whether employer contributing to fund?	Whether interest earned shall be taxable?	How much interest on employee's contribution shall be taxable?
1,50,000	Yes	No	Not taxable till amount INR 2,50,000
2,50,000	Yes	No	Not taxable till amount INR 2,50,000
2,50,000	No	No	Not taxable till amount INR 5,00,000
4,00,000	Yes	Yes	Interest on contribution of INR 1,50,000 (4,00,000 -2,50,000)
4,00,000	No	No	Not taxable till amount INR 5,00,000
5,50,000	No	Yes	Interest on contribution of INR 50,000 (5,50,000 -5,00,000)
5,50,000	Yes	Yes	Interest on contribution of INR 3,00,000 (5,50,000 -2,50,000)

TDS deducted/TCS collected other than by an employer (Form 12BAA)

In the Union Budget 2024, the finance minister announced changes in the TDS framework and included a provision that salaried individuals can take credit for TDS deducted/TCS collected against the TDS to be paid on salary.
Employers can consider the TDS deducted/TCS collected by any other person other than any other employer while computing and deducting the amount of tax from salary income under Section 192.

The Central Board of Direct Taxes (CBDT) has issued Notification (No. 112/2024, dated 15 October 2024), notifying the updated rule and new Form 12BAA for filing particulars of income under heads of income other than 'Salaries' and details of tax deducted at source or tax collected at source to be submitted by employee to employer, for computing the tax (TDS) on salary income and filing TDS return by the employer.

This change has a big impact on the salaried individual who has paid huge amounts in the form of TCS. They had to wait till the time of filing their individual return to get the credit of TCS and excess TDS collected by any person other than his employer. When the employer considers the TDS/TCS details for the calculation of tax deduction from salary, the TDS/TCS get it adjusted to the tax payable on salary without waiting for filing the individual tax return.

Linking of Aadhaar with PAN:

Under the provisions of the Income Tax Act, 1961(the 'Act') every person who has been allotted a PAN as on 1st July 2017 and is eligible to obtain Aadhaar Number, was required to intimate his Aadhaar to the prescribed authority on or before 31st March 2023, on payment of a prescribed fee of INR 1,000. Failure to do so shall attract certain repercussions under the Act w.e.f. 1st April 2023. However, the date for intimating Aadhaar to the prescribed authority for the purpose of linking PAN and Aadhaar was again extended to 30th June 2023.

From 1st July 2023, the PAN of taxpayers who have failed to intimate their Aadhaar, as required, shall become inoperative and the consequences during the period that PAN remains inoperative will be as follows:

a) No refund shall be made against such PAN's.
b) Interest shall not be payable on such refund for the period during which PAN remains inoperative.
c) TDS and TCS shall be deducted /collected at higher rate, as provided in the Act.

Hence, there could be a requirement to withhold tax taxes at the higher rate of 20% or the average estimated tax rate for the financial year. Further, the employer could have a challenge in filing the quarterly tax withholding returns, since the employee's PAN becomes in-operative. It is therefore important for employers to ensure that the employees' PAN's are duly linked with the Aadhaar.

The PAN can be made operative again in 30 days, upon intimation of Aadhaar to the prescribed authority after payment of fee of INR 1,000.

Those persons who have been exempted from PAN-Aadhaar linking will not be liable to the consequences mentioned above. This category includes those residing in specified States, a non-resident as per the Act, an individual who is not a citizen of India or individuals of the age of eighty years or more at any time during the Financial Year.

Section 234H extract:

[234H. Without prejudice to the provisions of this Act, where a person is required to intimate his Aadhaar number under sub-section (2) of section 139AA and such person fails to do so on or before such date, as may be prescribed, he shall be liable to pay such fee, as may be prescribed, not exceeding one thousand rupees, at the time of making intimation under sub-section (2) of section 139AA after the said date.]

Rule 114AAA extract:

[114AAA. Where a person, whose permanent account number has become inoperative under sub-rule (1), is required to furnish, intimate or quote his permanent account number under the Act, it shall be deemed that he has not furnished, intimated or quoted the permanent account number, as the case may be, in accordance with the provisions of the Act, and he shall be liable for all the consequences under the Act for not furnishing, intimating or quoting the permanent account number.]

It is mandatory to link one's PAN with Aadhaar card as it helps the Government to track all the financial transactions undertaken by the taxpayers in India. It also helps the Government to keep a check on tax evasion. As PAN and Aadhaar are both identity proofs of an individual, linking these two prevents an individual from holding multiple PAN's and avoid tax and other related frauds.

The prerequisites of linking PAN with Aadhaar are:

- A valid PAN
- A valid Aadhaar number
- A valid mobile number

Exemption from Aadhaar-PAN linking:

It is mandatory to quote and linked Aadhaar number while filing income tax return unless specifically exempted. CBDT has notified that Section 139AA of the Income Tax Act is not applicable to the following individuals. In other words, Aadhaar-PAN linking is presently exempted for the individual who is:

(a) Not a citizen of India.

(b) Non-resident as per the Income Tax Act, 1961.

(c) Super senior citizen (age of eighty years or more)

(d) Residing in the States of Assam, Jammu and Kashmir, and Meghalaya.

However, for users falling in any of the above category, voluntarily desires to link his/her Aadhaar with PAN, fee payment of specified amount is required to be done.

Frequently asked questions:

1. What is the deadline to link my PAN to Aadhaar?

The date for intimating Aadhaar to the prescribed authority for the purpose of linking PAN and Aadhaar was 30th June 2023.

2. What will happen if my PAN is not linked to Aadhaar after the due date?

The last date of linking PAN to Aadhaar was 30th June 2023. Failure to do the same will make your PAN invalid. You will be able to activate the PAN only after linking it to Aadhaar.

3. Who needs to link their PAN with Aadhaar?

Section 139AA of the Income Tax Act provides that every individual who has been allotted a permanent account number (PAN) as on the 1st day of July 2017, and who is eligible to obtain an Aadhaar number, shall intimate his Aadhaar number in the prescribed form and manner.

4. What are the benefits of linking PAN with Aadhaar?

- It removes the possibility of an individual having more than one PAN Card.
- Linking of Aadhaar with PAN allows the Income Tax Department to meticulously detect any form of tax evasion.
- The process of filing income returns become considerably easy as the individual is not required to provide any proof of him or her having filed their income tax returns.
- Linking of your Aadhaar with PAN will prevent the latter from getting cancelled.
- The linking of PAN with Aadhaar will help in having a summarized detail of one’s taxes attached to Aadhaar for future reference.

5. If I don’t fall into the taxable bracket, do I still have to get an Aadhaar card, or have it linked to my PAN?

Yes, it is advisable that you apply for an Aadhaar card and have it linked with your PAN. Aadhar is now necessary to avail most government benefits and so it is advisable to apply for it and get it linked with PAN to ensure that your PAN is valid.

6. Do NRIs residing in India have to link their PAN as well?

The requirement to quote Aadhaar for filing income tax returns and for making an application for allotment of PAN with effect from July 1, 2017, does not apply to nonresident Indians [NRIs].

7. Is it mandatory to create an account with the department website?

No, it is not necessary to have an account with the department website. There is a direct link that is available which you can use to link your PAN and Aadhaar Card.

8. Do I have to submit any documentary proof to link my PAN and Aadhaar card?

No, you are not required to submit any documents when linking your Aadhaar to your PAN card. You must check if the PAN information mentioned on the website matches your Aadhaar card and then apply for them to be linked.

9. What are the details I must check when linking my PAN with my Aadhaar card?

When linking your PAN with your Aadhaar card, you must make sure that your name, date of birth and gender as displayed on the income tax website matches with the details on your Aadhaar card.

10. What will be the consequences if I do not link Aadhaar with PAN?

If you do not link your Aadhaar with PAN till 30th June 2023, your PAN will become inoperative. If PAN becomes inoperative, you will not be able to furnish, intimate or quote your PAN and would be liable to all the consequences under the Act for such failure.

This will have several implications such as:

- You shall not be able to file return using the inoperative PAN
- Pending returns will not be processed
- Pending refunds cannot be issued to inoperative PANs
- Pending proceedings as in the case of defective returns cannot be completed once the PAN is inoperative
- Tax will be required to be deducted at a higher rate as PAN becomes inoperative.

In addition to the above, you might face difficulty at various other fora like banks and other financial portals, as PAN is one of the important KYC criteria for all kinds of financial transactions.

11. What are the consequences of PAN becoming inoperative as per the Rule 114AAA?

Consequences of PAN becoming inoperative on not linking with Aadhaar as per the newly substituted Rule 114AAA:

(i) Consequent to the notification substituting Rule 114AAA of the Income Tax Rules, 1962 (the Rules) vide notification no. 15 of 2023 dated 28th March 2023, it is hereby clarified that a person who has failed to intimate the Aadhaar number in accordance with section 139AA of the Income Tax Act, 1961 (the Act) read with Rule 114AAA shall face the following consequences because of his PAN becoming inoperative:

a) Refund of any amount of tax or part thereof, due under the provisions of the Act shall not be made to him.

b) Interest shall not be payable to him on such refund for the period, beginning with the date specified under sub-rule (4) of Rule 114AAA and ending with the date on which it becomes operative.

c) Where tax is deductible under Chapter XVJJ-B in case of such person, such tax shall be deducted at higher rate, in accordance with the provisions of Section 206AA.

d) Where tax is collectible at source under Chapter XVJJ-BB in case of such person, such tax shall be collected at higher rate, in accordance with the provisions of Section 206CC.

(ii) These consequences shall take effect from 1st July 2023 and continue till the PAN becomes operative. A fee of INR 1,000 will continue to apply to make the PAN operative by intimating the Aadhaar number.

(iii) The consequences of PAN becoming inoperative shall not be applicable to those persons who have been provided exemption from intimating Aadhaar number under the provisions of sub-section (3) of Section 139AA of the Act.

Note:

1) The Central Board of Direct Taxes (CBDT) has issued Circular No. 6, issued on April 23, 2024, aims to provide relief to those who have collected Tax Deducted at Source (TDS) or Tax Collected at Source (TCS) at the normal rate but were required to deduct or collect at higher rate due to PAN inoperability.

Since July 1, 2023, there has been a requirement to deduct or collect TDS/TCS at higher rate if the PAN of the deductee is inoperative due to non-linkage with Aadhaar.

Deductors/collectors will not be treated as defaulters for tax deducted at the normal rate for transactions conducted until March 31, 2024. If the PAN of the deductee is linked with Aadhaar and becomes operative by May 31, 2024, then there will be no liability on the deductor/collector to deduct/collect tax at higher rate under sections 206AA/206CC.

This relief applies specifically to transactions executed up to March 31, 2024. Action must be taken to link PAN with Aadhaar by May 31, 2024, to avoid any adverse consequences.

For transactions occurring on or after April 1, 2024, it is essential to ensure that the PAN of the deductee is linked to Aadhaar and remains valid.

2) On April 3, 2025, the Central Board of Direct Taxes issued notifications No. 25/2025 and No. 26/2025, amending the Income-tax Rules, 1962. The amendments require individuals allotted a Permanent Account Number (PAN) based on Aadhaar application forms submitted before October 1, 2024, to inform the relevant tax authorities of their Aadhaar numbers. Notification No. 25/2025 introduces the new rule (5AA) under Rule 114, while Notification No. 26/2025 specifies that this intimation must be completed by December 31, 2025, or another date as determined by the Central Board.

The directive comes under the powers conferred by subsection (2A) of Section 139AA of the Income Tax Act, 1961. It requires PAN holders who received their PAN using an Aadhaar Enrolment ID (rather than an Aadhaar number) before October 1, 2024, to officially link their Aadhaar number with the Income Tax database.

ITD imposes massive penalty for using inactive/inoperative PAN (Section 272B of the IT Act)

The Income Tax Department has started taking strict action against the inoperative PAN cards. The department has imposed a massive penalty of up to INR 10,000 on individuals using inactive PAN cards for financial transactions.

Using an unlinked PAN card with an Aadhar card or multiple PAN cards simultaneously will make them inoperative. If you use an inactive PAN, you may be fined for every financial transaction. This includes things like opening/operating a bank account, investing money in mutual funds or the stock market, buying property, applying for a loan, or even filing your ITR. The Income Tax Department will charge penalties for these actions.

To make tax administration smoother, the Income Tax Department has ordered compulsory linking of the PAN card with the Aadhaar card. If you don't do this, your PAN will become inactive, and you won't be able to use it for financial activities.

Section 272B: Penalty for failure to comply with the provisions of Section 139A:

If a person, who is required to ensure that the PAN has been duly quoted or authenticated fails to do so, the Assessing Officer may direct that such person shall pay, by way of penalty, a sum of ten thousand rupees for each such default.

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